Share prices, in themselves, hold no particular informational value. Day-to-day, they are set by the forces of supply and demand and driven more by the whims, beliefs, and exigencies of other buyers and sellers than by a measured, rational assessment of business performance and prospects. Unexpected developments, heightened uncertainty, and moment-by-moment capital flows exacerbate short-term market volatility, and prices sometimes depart from a company's underlying value. Small changes in assumptions or sentiment can cause wild price swings, as can be observed from the prices of the shares of scores of fast-growing but still unprofitable technology and biotech companies in recent years.

These fluctuations give rise to one of the greatest challenges of investing. While an analysis of a company and its value can be spot on, the stock market can fail to reward that insight and can even appear to refute it. Indeed, an investor may not be rewarded for quite some time, and perhaps experience sizable paper losses. Investors, therefore, can *be* right yet *appear* wrong, to themselves and to anyone who looks.

While at first blush this may seem to be a problem, it is actually an opportunity. Graham and Dodd's philosophy maintains that the financial markets themselves are the ultimate creator of opportunity. On any given day, some securities may be priced more or less correctly, others not. But in the long run, fundamentals are what drive business value. Graham is credited with explaining: "In the short run, the market is a voting machine, but in the long run it is a weighing machine." By acknowledging and taking advantage of this dichotomy, investors can profit from bargains as they patiently wait for the underlying fundamental value of a business to be reflected in its share price.

Those who are able to develop reliable investment convictions about the securities in which they plan to invest and can tolerate